Meta description: Understand freelance taxes in Spain, including income tax, VAT, deductions and deadlines. Discover Wise Business for international payments.

Freelance taxes Spain: A guide for foreign freelancers

If you freelance in Spain, you'll deal with three things: personal income tax, VAT if it applies, and separate Social Security contributions. These are the building blocks of freelance taxes in Spain, and once you understand how they fit together, the whole system feels less overwhelming. In Spain, a self-employed person is called an ***autónomo***. It's a simple word for a layered reality, especially if you've just moved here or if most of your clients are based abroad. Questions pile up fast. Do you owe tax on money earned outside Spain? Does it matter where your client pays you from? What happens if you're not sure how long you'll stay? We'll walk through this step by step. And if you handle international payments as part of your freelance work, **Wise Business** helps you receive money from clients abroad, hold different currencies, and move funds where you need them. We'll get into the details later.

Who needs to pay freelance taxes in Spain?

If you're self-employed and working from Spain, you'll have tax obligations here. But the details depend heavily on your tax residence status. Understanding taxes for the self-employed in Spain starts with figuring out where you actually count as a tax resident.

Tax residence matters more than nationality

Spain considers you a tax resident if you spend **more than 183 days** here in a calendar year, or if your main economic activity is based here[1].

A few other factors can also trigger residency: if your spouse and minor children live in Spain, authorities may presume you're a resident too. And if two countries both claim you, tax treaties usually settle it based on where your permanent home or closest ties are[1].

As a tax resident, you must declare your worldwide income, including earnings from foreign clients[2]. Also, your **visa status, tax residency, and Social Security obligations** are three separate things. Spending fewer than 183 days in Spain doesn't mean you're off the hook[1].

What if you work only for overseas clients?

Having foreign clients, or getting paid into a foreign bank account, doesn't remove your Spanish tax obligations[2]. If you live in Spain and work from here, Spain still wants its share.

Where things get tricky is **double taxation**[3]. If another country also taxes that income, you may be able to claim relief under a tax treaty. That's why this is one of those areas where it pays to get proper advice, especially if your situation touches more than one country's rules.

For a broader look at the Spanish tax system from a foreigner's perspective, Wise has a guide on taxes in Spain for foreign freelancers that's worth a read if you're getting oriented.

How to register as a freelancer in Spain

Before you invoice your first client, there's a short checklist to work through:

- Confirm you have the right to work independently in Spain.
- Get your NIE or NIF (your Spanish tax ID) and a Social Security number.
- Set up digital access, or appoint a representative to handle it[4].

Once that's in place, registration itself happens in two places.

1. **First, with Hacienda** (the Spanish tax agency), using Modelo 036. This form asks you to pick the correct business activity code and confirm your tax obligations[5].
2. **Second, with RETA**, the Social Security scheme for the self-employed. You need to register in RETA before you start working (up to 60 days in advance)[4].

If some of your work involves intra-EU transactions, you may as well need to register with the ROI, the registry for EU trade operators[6]. And one important clarification: having an NIE doesn't mean you're registered as self-employed. That's a separate step entirely.

This is where a ***gestor*** comes in handy. It's an administrative adviser who helps with paperwork, filings, and registrations. If your situation involves cross-border income, look for one with experience in that area so you get freelance taxes in Spain set up correctly.

What taxes and contributions do freelancers pay?

Once registered, three separate things hit your bank account on a regular basis:

1. income tax
2. VAT (if applicable)
3. Social Security contributions

This is the core of taxes for the self-employed in Spain. Let's explain each individually.

Income tax: final liability, withholding and advance payments

IRPF, Spain's personal income tax, is progressive. Your taxable profit feeds into a calculation that depends on national rates plus regional rules, so there's no single percentage that applies to everyone[3]. And that's why three concepts matter here, and they're easy to mix up:

- **Annual liability**: what you actually owe for the year, settled in your annual return[3].
- ***Retenciones***: amounts clients withhold from your invoices and pay to Hacienda[3].
- **Quarterly advance payments**: made through Modelo 130 throughout the year[7].

For professional services, the usual withholding rate is 15%. New freelancers get a reduced 7% rate during their first year and the two years that follow, assuming they qualify[8].

Always check current eligibility rules before assuming this applies to you.

And remember: **Modelo 130 starts at 20% of your cumulative year-to-date net profit**, after subtracting withholdings, earlier instalments, and any adjustments[7].

There's an exception, though: if at least 70% of last year's income was already subject to withholding, you may not need to file Modelo 130 at all[7].

VAT collected from clients

IVA, Spain's VAT, sits at a standard rate of 21%, though exemptions apply to certain activities. It's worth remembering that VAT you collect isn't profit.

It passes through your accounts on its way to **Hacienda**, and any deductible input VAT reduces what you owe[10]. We'll look at how client location affects this in the next section.

Monthly Social Security contributions

The ***cuota de autónomos*** runs separately. You pay it based on your forecast net earnings, and the amount gets adjusted later once your actual income is known. New freelancers can often access a reduced starting rate[4]. For the most current figures, **check the official Social Security** calculator[11] rather than relying on older numbers, since contribution bands change.

Do you charge Spanish VAT to international clients?

It depends on who your client is and where they're based. Here are the main scenarios:

Client type	Usual VAT treatment[12]	What to check

Spanish client	Spanish VAT applies	Confirm the service isn't exempt
Business in another EU country	Generally no Spanish VAT (B2B place-of-supply rule)	Verify their VAT number, register for ROI, file Modelo 349[6]
Business outside the EU	Generally outside the scope of Spanish VAT	This is different from an exemption, check your specific service
Private individual abroad	Different B2C rules apply[13]	Service type and customer location both matter

There are exceptions worth flagging. Electronic services and property-related services often follow different rules. And geographically, the Canary Islands, Ceuta, and Melilla sit outside the mainland and Balearic Spanish VAT territory, so transactions need separate treatment[14].

One more thing about freelance taxes in Spain: accepting payment in GBP or USD through Wise Business makes life easier when billing international clients, but the currency you're paid in has no bearing on VAT treatment. It's determined by client type and location only[12].

Which freelance expenses can you deduct?

An expense generally needs a **business connection, adequate justification, correct recording and correct allocation to the relevant period** to be deductible[15].

Common deductible expenses include professional software, accountancy fees, coworking space, eligible equipment, business payment fees[15], and your own Social Security contributions[16]. Some equipment needs to be depreciated over time rather than deducted[17].

However, **be careful with mixed-use expenses**. Home working costs, meals, and vehicle expenses often come with restrictions[17], so don't assume all your rent or travel costs qualify[9].

It's also worth separating two different things:

- **deductions that reduce your income tax**[15]
- **and VAT that you can recover separately**[10]

Keep your invoices alongside payment records, and if you bill in a foreign currency, record all transactions in euros following the applicable accounting rules[18]. Getting tax deductions for freelancers in Spain right from the start makes your quarterly filings much smoother.

How much should you set aside? A simple example

Numbers help more than theory when it comes to freelance taxes in Spain, so here's a basic first-quarter example using direct estimation, assuming no withholding or other adjustments:

- Revenue excluding VAT for freelancers in Spain: €9,000
- Allowable expenses, including Social Security contributions: €2,000
- Net profit: €7,000
- Illustrative advance payment (20%): €1,400

This €1,400 is a prepayment toward your income tax, not your final bill for the year and definitely not the full cost of freelancing[3]. You'll still need separate reserves for VAT, income tax, and your monthly Social Security contributions. There's **no universal "save this percentage" rule**, since that will depend on your specific expenses and income pattern.

One more detail: **later quarters build on earlier ones**. Your Q2, Q3, and Q4 calculations are cumulative, and they account for what you've already paid[7].

When do freelancers file and pay taxes?

Here's a simplified filing calendar for the main forms:

Form	Purpose	Typical deadline[19]
Modelo 130	Quarterly income tax advance	April, July, October (1st-20th); Q4 is January (1st-30th)
Modelo 303	Quarterly VAT return	Similar quarterly windows
Modelo 100	Annual income tax return	Spring of the following year
Modelo 390	Annual VAT summary	Alongside your annual filings, where required

Always double-check dates each year when it comes to freelance taxes in Spain. Holidays shift deadlines and direct-debit cut-offs fall a few days earlier than the filing deadline itself[19].

Also, keep in mind the difference between the income year and the year you file in[3]. If you're involved in EU transactions, **Modelo 349 may also apply**, and if you pay staff, other professionals, or rent above certain thresholds, extra withholding returns might be needed[9].

Finally, a word of caution: having no income doesn't cancel your filing obligations. For example, the Modelo 130 instructions require a negative return where filing is required but no payment results[7]. Missing deadlines lead to penalties, so keep a calendar near you.

Manage international freelance payments with Wise Business

As you know, if you **freelance across borders**, Wise Business gives you a way to handle money moving between countries. You receive client payments using local account details, hold multiple currencies at once, convert to euros, and pay overseas business expenses.

Conversions also happen at the **mid-market exchange rate**, with a transparent fee shown upfront. Fees for opening an account, receiving payments, or sending transfers can vary depending on the currency and payment route, so check Spanish pricing for exact figures.

However, none of this replaces proper invoicing or tax filing. Wise doesn't calculate your taxes for you. What it does is **make your cash flow clearer and your payment records easier to track**, which matters a lot when you're juggling clients, currencies, and quarterly filings all at once. Explore Wise Business for your international freelance payments!

Frequently asked questions

Do digital nomads automatically qualify for the Beckham Law?

No. The Beckham Law targets specific entrepreneurs and highly qualified professionals, not freelancers generally. Check your eligibility directly through AEAT's special regime guidance.

Can I avoid registering if I earn below the minimum wage?

There's no blanket exemption for low earners when it comes to freelance taxes in Spain. Requirements depend on your specific activity and circumstances, not your income level.

Does keeping client payments abroad avoid Spanish tax?

No. Where your money sits doesn't change your autónomo taxes in Spain. You may also have separate reporting requirements for foreign assets, so it's worth checking those too.

Get your freelance finances ready for Spain

Three things make the biggest difference here: confirm your tax status honestly, register correctly from the start, and keep good records alongside a simple filing calendar. If your situation involves more than one country, specialist advice is worth the cost. **Cross-border freelancing** has enough moving parts that a professional can save you from costly mistakes. And if you need a reliable way to receive, exchange, and move money across borders as part of managing freelance taxes in Spain, **Wise Business** is built for exactly that. Open your account today and simplify how you handle international freelance income!

SOURCES:

1. AEAT - Individual tax residency. 183+ days, center of economic interests, family presumption, treaties, and the difference between tax and administrative residency.

https://sede.agenciatributaria.gob.es/Sede/ayuda/manuales-videos-folletos/manuales-practicos/manual-tributacion-no-residentes/capitulo-01-contribuyente-residencia/residencia-personas-fisicas.html

2. AEAT - Spain-based residents with US-sourced income. It explicitly explains the principle of worldwide income taxation. The details regarding the tax treaty specifically pertain to the United States

https://sede.agenciatributaria.gob.es/Sede/ayuda/manuales-videos-folletos/folletos/folletos-residentes-rentas-extranjeras/estados-unidos.html

3. BOE - Personal Income Tax (IRPF) Law. Articles 63 and 74: state and regional tax brackets; 79: deduction of prepayments and withholdings; 80: international double taxation; 99: payments on account.

https://www.boe.es/buscar/act.php?id=BOE-A-2006-20764

4. Importass - a guide to self-employment. Requirements and Social Security registration procedures, contribution based on earnings, contribution adjustment, and reduced rates. It does not recommend using the old Form 037.

https://portal.seg-social.gob.es/wps/portal/importass/importass/Colectivos/Trabajo%20Autonomo/guia

5. AEAT - Form 036 (2026 calendar). Census registration prior to commencement and discontinuation of Form 037.

https://sede.agenciatributaria.gob.es/Sede/ayuda/calendario-contribuyente/calendario-contribuyente-2026/informacion-sobre-presentacion-modelos-no-periodicos/modelo-036.html

6. AEAT - identification for transactions with EU business partners. ROI, application via Form 036, VAT and VIES identification.

https://sede.agenciatributaria.gob.es/Sede/iva/iva-operaciones-comercio-exterior/identificacion-realizar-operaciones-otros-empresarios-ue.html

7. AEAT - Form 130 instructions. Cumulative 20% calculation, deductions, 70% professional exemption, start of business activity, and nil returns.

https://sede.agenciatributaria.gob.es/Sede/impuestos-tasas/impuesto-sobre-renta-personas-fisicas/modelo-130-irpf_____esionales-estimacion-directa-fraccionado_/instrucciones.html

8. AEAT - withholding tax rates. General rate of 15% and reduced rate of 7%

https://sede.agenciatributaria.gob.es/Sede/ayuda/manuales-videos-folletos/manuales-practicos/folleto-actividades-economicas/7-otras-obligaciones-fiscales-retenciones/7_1-cuadro-relacion-tipos-retencion-porcentaje.html

9. BOE - Personal Income Tax (IRPF) Regulations. Article 95: 7% requirements; Article 22: business use and vehicles; Withholding Tax section: obligations of payers.

https://www.boe.es/buscar/act.php?id=BOE-A-2007-6820

10. AEAT - General VAT regime. VAT rates and the difference between output VAT and deductible input VAT

https://sede.agenciatributaria.gob.es/Sede/empresarios-individuales-profesionales/impuesto-sobre-valor-anadido/regimenes-tributacion/regimen-general.html

11. Social Security - self-employed contribution calculator. Contribution estimate based on projected earnings.

https://portal.seg-social.gob.es/wps/portal/importass/importass/tramites/simuladorRETAPublico/inicio

12. AEAT - international service provision. B2B/B2C localization, services for foreign companies, and Form 349

https://sede.agenciatributaria.gob.es/Sede/iva/iva-operaciones-comercio-exterior/prestaciones-servicios.html

13. AEAT - regla general de localización de servicios, IVA 2026. Regla general B2C y excepciones para determinados destinatarios fuera de la UE.

https://sede.agenciatributaria.gob.es/Sede/ayuda/manuales-videos-folletos/manuales-practicos/manual-iva-2026/capitulo-03-entregas-realizadas-empresarios-profesionales/entregas-bienes-s

ervic-realizadas-empresarios-profesionales/operaciones-realizadas-territorio/prestaciones-servicios/regla-general.html

14. BOE: VAT Law. Article 3: territory; Articles 69–70: general and special place of supply rules, including electronic and real estate services

https://www.boe.es/buscar/act.php?id=BOE-A-1992-28740

15. AEAT: tax-deductible expenses. General requirements and expense categories. The examples in the text are subject to these requirements

https://sede.agenciatributaria.gob.es/Sede/ayuda/manuales-videos-folletos/manuales-ayuda-presentacion/irpf-2025/7-cumplimentacion-irpf/7_4-rendimientos-actividades-economicas/7_4_2-regimen-estimacion-directa/7_4_2_3-gastos-fiscalmente-deducibles.html

16. AEAT: Social Security contributions of the business owner. Deduction of personal contributions.

https://sede.agenciatributaria.gob.es/Sede/ayuda/manuales-videos-folletos/manuales-ayuda-presentacion/irpf-2025/7-cumplimentacion-irpf/7_4-rendimientos-actividades-economicas/7_4_2-regimen-estimacion-directa/7_4_2_3-gastos-fiscalmente-deducibles/seguridad-social-aportaciones-mutualidades-titular-actividad.html

17. AEAT - Calculation of net income. Depreciation, and conditions regarding subsistence and utilities for partially business-use housing.

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18. AEAT: accounting obligations and record books. Registry data and recording of amounts in euros

https://sede.agenciatributaria.gob.es/Sede/irpf/Obligaciones.html

19. AEAT: deadlines and direct debit — 2026 calendar. Form 130, annual deadline for Form 100, and earlier deadlines for direct debit.

https://sede.agenciatributaria.gob.es/Sede/ayuda/calendario-contribuyente/calendario-contribuyente-2026/plazos-presentacion-autoliquidaciones-domiciliacion-bancaria.html